

Strategic Governance & Financial Realignment

Immediate Remediation of Compliance
Thresholds and Transition to the Charities
Accounting Standard

Board Approval Briefing | FY2024 Strategic Overhaul

Executive Summary: Three strategic mandates require immediate board approval to protect our IPC status and unlock capital.

Mitigate Regulatory Risk (Immediate Action)



FY21 Fundraising Efficiency breached the 30% statutory limit, hitting an alarming 59%.



Approve immediate auditor engagement to legally restructure expense allocations and remediate the 30/70 ratio before regulatory review.

Optimize Governance & Reporting (Medium Term)



Securing maximum IPC renewal requires a Governance Evaluation Checklist (GEC) score >80%.

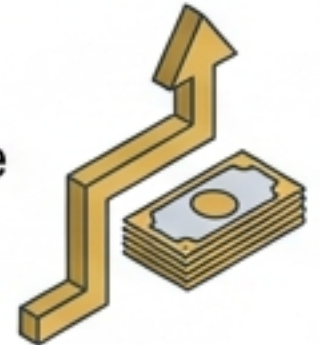


Approve the transition to the Charities Accounting Standard (CAS) to implement transparent fund accounting (restricted vs. unrestricted).

Unlock Transformation Capital (Strategic Funding)

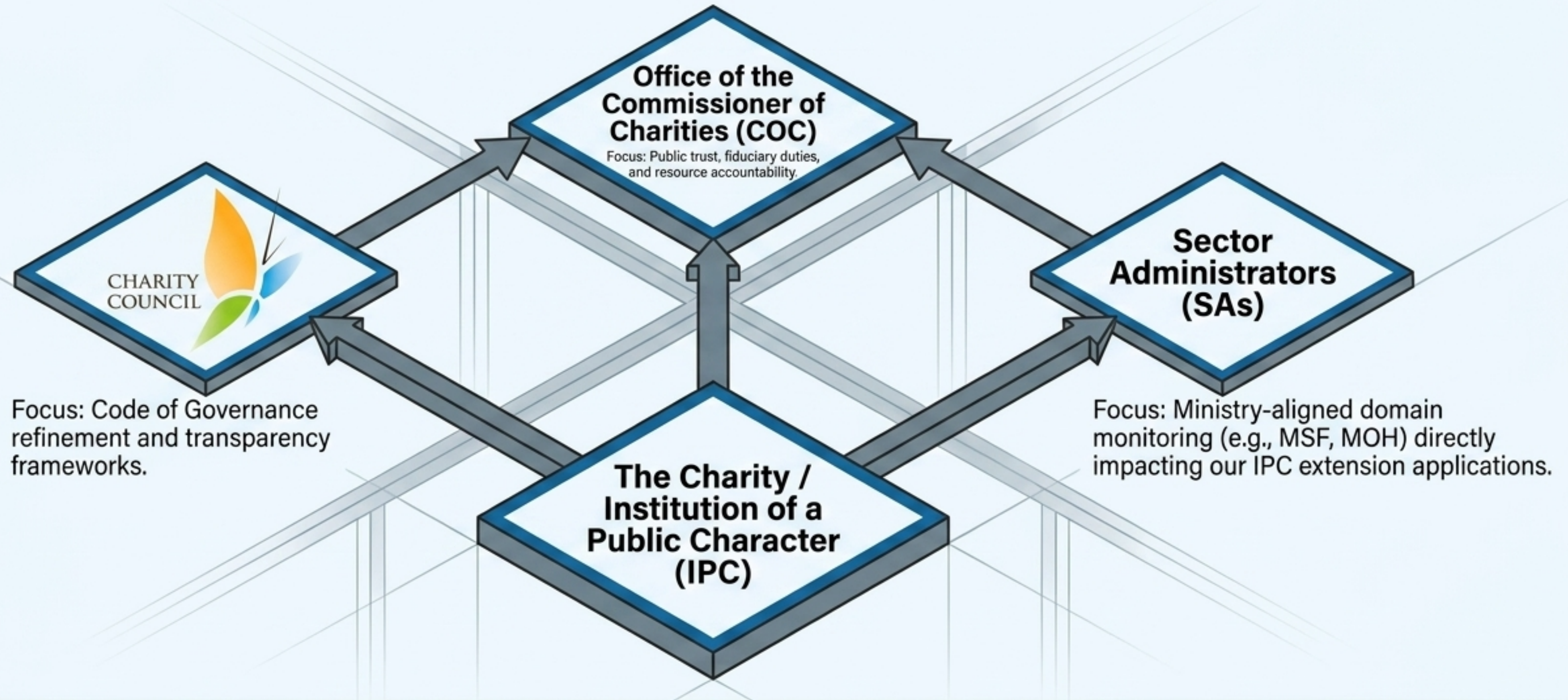


Compliance overhauls do not need to be self-funded.



Approve the NCSS OHDS diagnostic to unlock up to 80% co-funding under the Transformation Sustainability Scheme (TSS).

We operate within a strict “Many Helping Hands” co-regulatory architecture that demands uncompromising accountability.



Falling out of compliance with this ecosystem threatens not just reputation, but our legal capacity to raise funds and operate.

Core liquidity remains highly stable, but shrinking operating margins expose vulnerabilities in our capital acquisition costs



Current Ratio (Liquidity)

7.85 (2021)

vs 4.10 (2020)

Extremely strong short-term liquidity; assets comfortably cover liabilities.



Operating Margin

46.47% (2021)

vs 65.25% (2020)

A sharp 18.7% contraction, indicating rising operational costs against total income.



Asset Turnover

1.20 (2021)

vs 1.33 (2020)

Marginal decrease in how efficiently total assets are generating income.

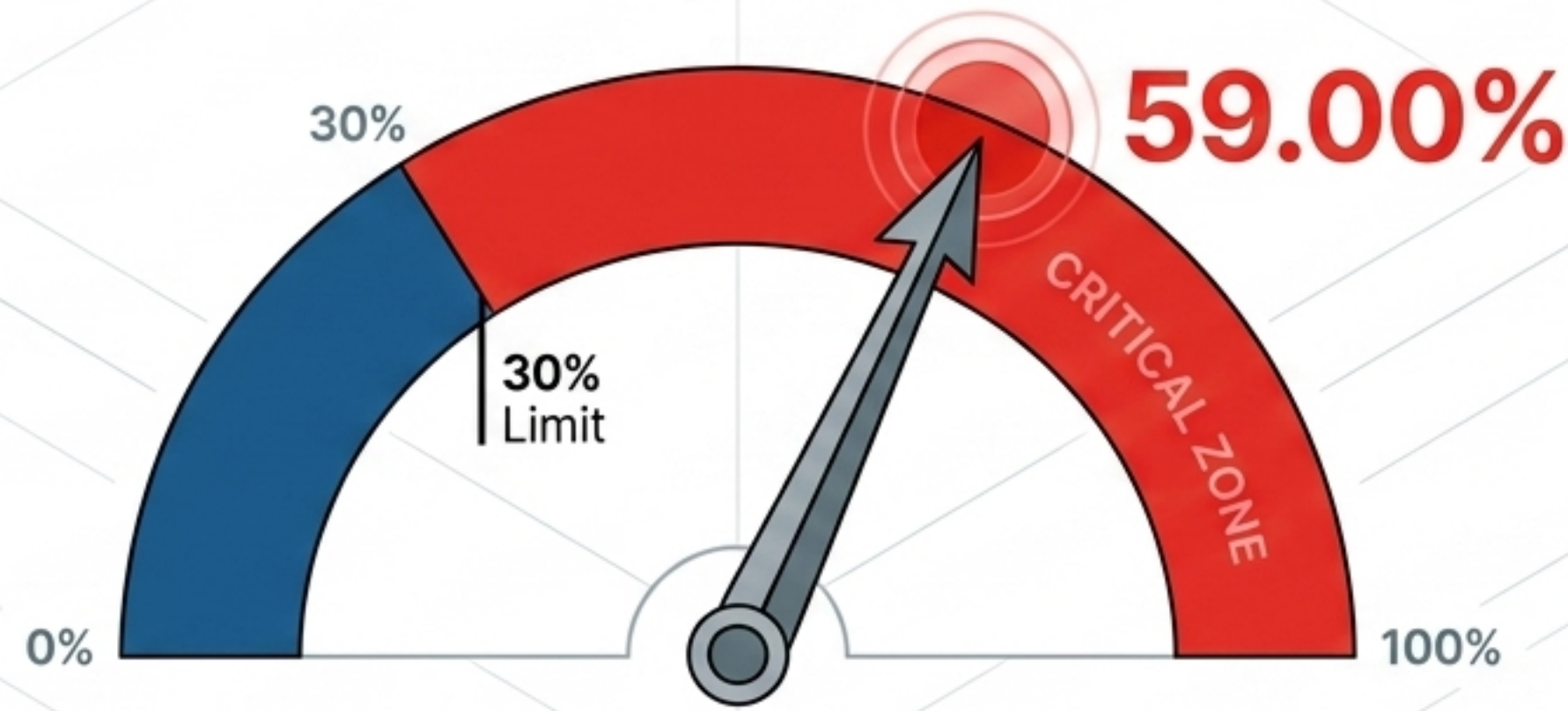


Cost of Generating Income

**\$295,000 cost to raise
\$500,000**

The root cause of our shrinking margin is an escalating cost of capital.

Fundraising efficiency has breached the 30% statutory limit, triggering a critical compliance red flag.



The FY21 Breakdown

💰 Cost of Fund Raising:
\$295,000

💵 Fund Raising Income:
\$500,000

The 30/70 Rule (Statutory Mandate)

Under the Charities Act, total fundraising expenses must not exceed 30% of total gross receipts from appeals and sponsorships.

The Risk Impact

Continued breach of this metric empowers the Commissioner of Charities to restrict future fundraising appeals, mandate external intervention, and deny IPC status renewal.

We can immediately remediate this breach by strictly applying statutory exclusions and proper sponsorship accounting.

$$\text{Fundraising Efficiency Ratio} = \frac{E}{R + S} \leq 30\%$$

[E] Total Expenses (\$295k)

Action

Exclude the direct cost of merchandise sold during non-trading fundraising. Ensure commercial fundraiser fees are paid separately, not netted off donations.

[R] Gross Receipts (\$500k)

Action

For merchandise sales, ensure only the net proceeds (gross minus cost of goods) are added to this denominator, properly separating trading from transactional fundraising.

[S] Sponsorships

Action

Strategically include cash sponsorships conditioned on commercial benefits, and in-kind sponsorships where tax-deductible receipts were issued, to legally inflate the denominator.

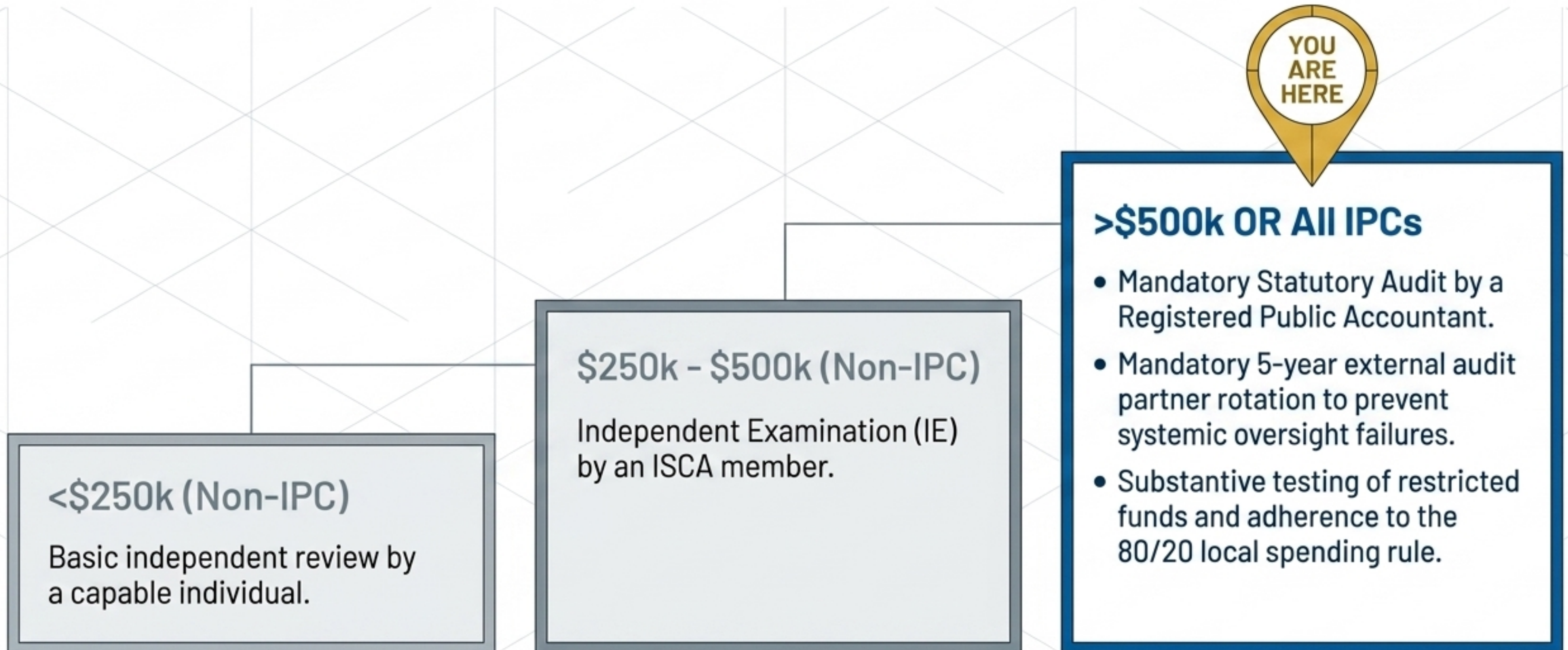
Transitioning from SFRS to the Charities Accounting Standard (CAS) will provide structural protection for donor capital.

	Singapore Financial Reporting Standards (SFRS)	Charities Accounting Standard (CAS)
Reporting Focus	Profit & Loss, Shareholder Value	Statement of Financial Activities (SOFA), Public Transparency
Capital Tracking	General ledgers	Mandatory Fund Accounting
Complexity	>100 standards	Single, simplified consolidated standard

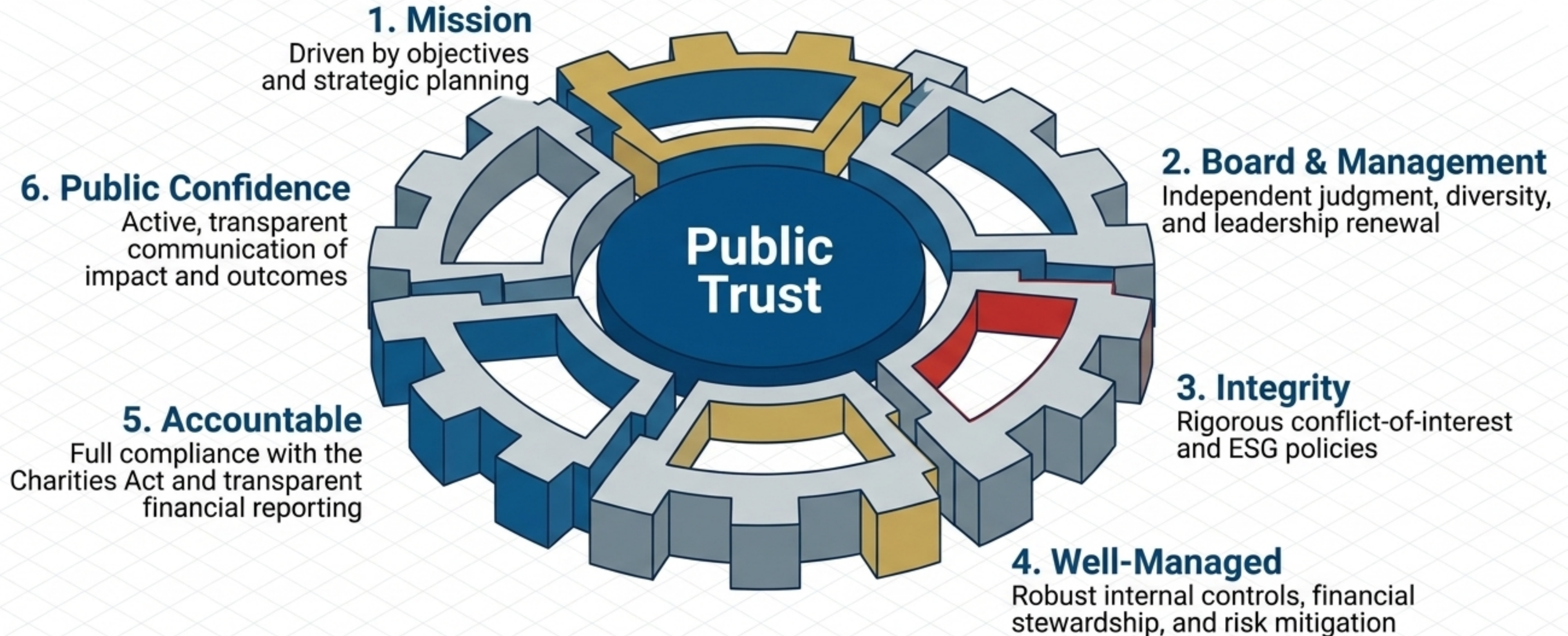
The Strategic Advantage (Fund Accounting)

CAS inherently requires separating restricted funds (earmarked by donors for specific projects) from unrestricted funds (operational reserves). This prevents commingling of assets, eliminates inflated absolute costs from in-kind sponsorships, and ensures perfectly clean statutory audits.

As an IPC with >\$500k in revenue, we occupy the highest compliance tier, demanding stringent audit oversight.



Our internal controls must strictly align with the 6 core principles of the revised Code of Governance



Securing multi-year IPC renewal requires optimizing our Governance Evaluation Checklist (GEC) to score above 80%.



The Tier 2 Target:

As an IPC, we are evaluated on 38 strict guidelines. We must achieve a minimum of 61 points (>80% of the GEC score) to ensure the Sector Administrator grants our maximum computed IPC renewal period without deduction.

Critical Board Compliance Checkpoints (Comply or Explain)

1. Board Term Limits:

Maximum of 10 consecutive years for at least two-thirds of the board.

2. Treasurer Rotation:

Maximum limit of four consecutive years for the Treasurer or Finance Chair.

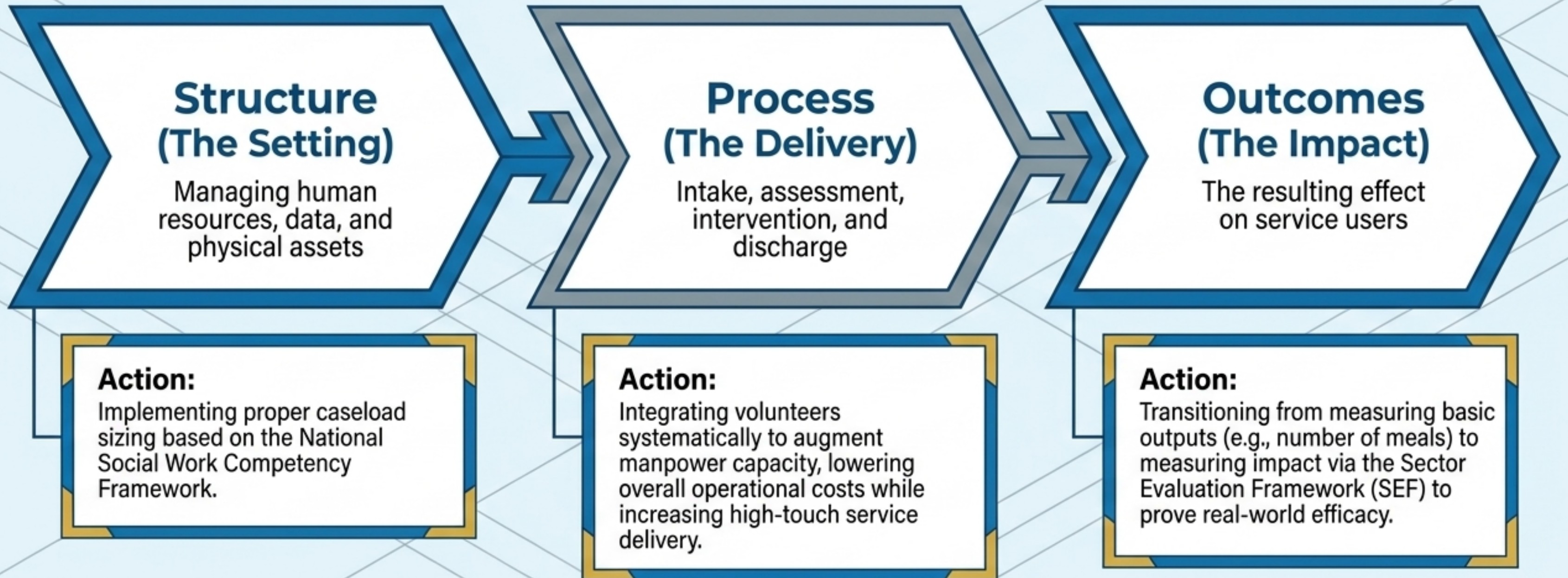
3. Unremunerated Service:

Board members must not receive remuneration for their services.

4. Executive Transparency:

Disclosure of the exact remuneration of the three highest-paid staff exceeding \$100k in annual salary.

Elevating on-the-ground impact by aligning our operations with NCSS Service Standards



Empowering our beneficiaries: Ensuring clinical assessments unlock up to \$600/month via the Home Caregiving Grant.

The Opportunity

Families caring for persons with moderate to severe disabilities can access \$200, \$400, or \$600 monthly (based on per capita household income $\leq$ \$4,800).

Our Operational Role (The Bridge)

Beneficiary Need

Requires Home Caregiving Grant (HCG) support.



Clinical Assessment

Beneficiaries require a Functional Assessment Report (FAR) by a GP or an MSF-approved Client Assessment Form (CAF) for Autism/Intellectual Disability.



eFASS Submission

Our clinical staff and social workers must ensure assessments strictly meet AIC strictures and are uploaded efficiently via eFASS (e-Services for Financing Schemes) to minimize approval wait times for our community.

We will leverage NCSS Transformation grants to fund this compliance overhaul, protecting our working capital.

Step 1: The OHDS Diagnostic

Undertake the Korn Ferry Organisation Health Diagnostic Scheme (OHDS) to benchmark our capabilities and generate the mandatory OHFSS report.

Step 2: Unlocking the TSS

Completing the diagnostic unlocks the Transformation Sustainability Scheme (TSS).

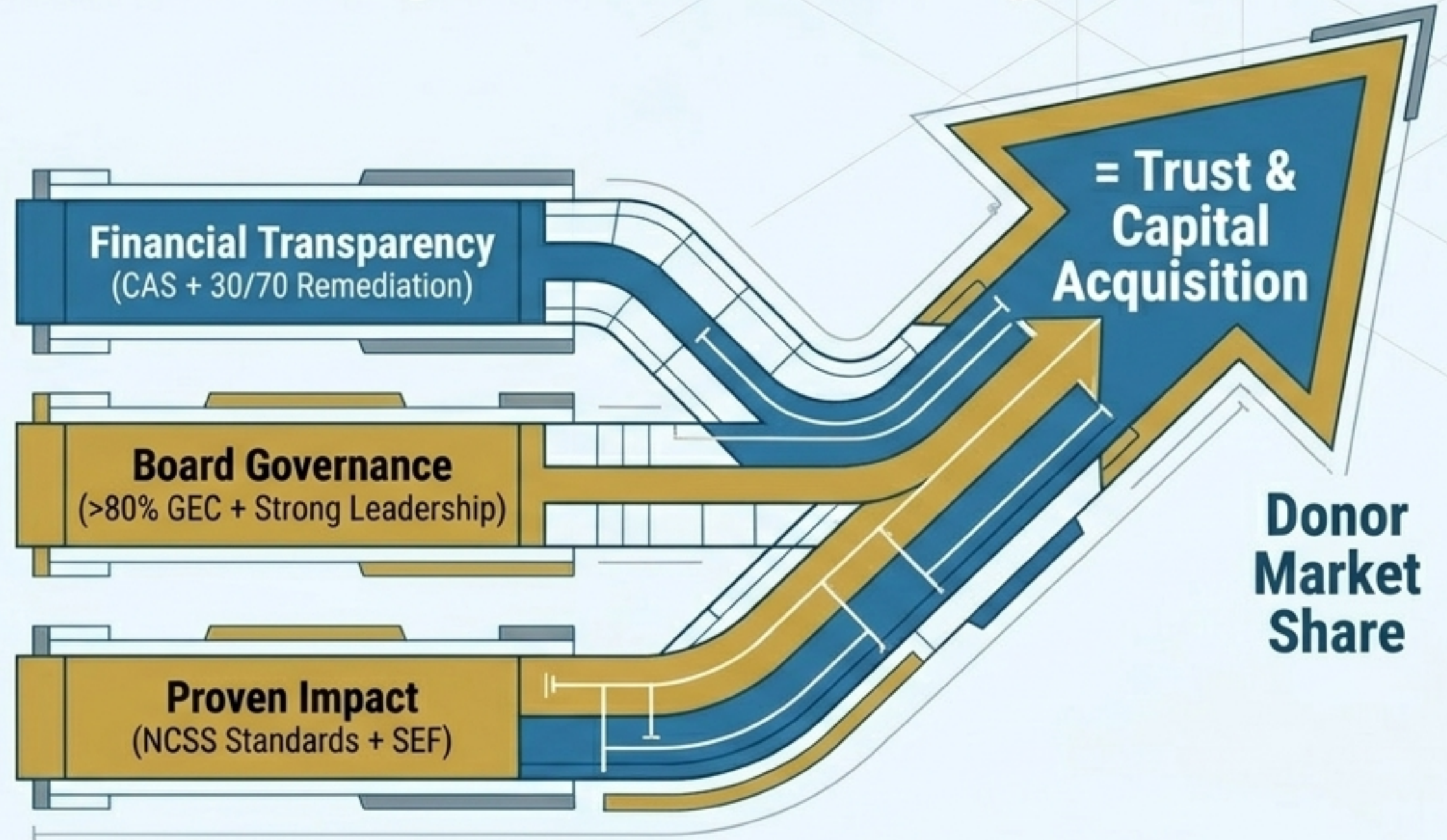
Step 3: Funded Implementation

- **Part A:** Up to 80% co-funding for consultancy, digital tools, and structural audits to implement CAS and fix the 30/70 ratio.
- **Part B:** Funding for dedicated manpower to execute the changes, verified by post-project Employee Engagement (EESS) and revised OHFSS reports.

Synthesis: In a tightening economic environment, rigorous governance is our ultimate competitive advantage.

The Flight to Quality

As resources become scarce, corporate donors and state funders do not stop giving; they redirect capital exclusively to the most reliable, transparent, and impactful organizations.



We are not just achieving compliance; we are building a structurally superior charity designed to win market share in a contracted economy.

Board Resolutions Required for Immediate Execution

Resolution 1: Financial Remediation

Approve the immediate engagement of our external auditors to recalculate the FY21/FY22 fundraising efficiency ratio, strictly applying all legal exclusions (cost of goods sold, proper sponsorship accounting) to bring the metric below the 30% statutory limit.

☐ [APPROVE]

☐ [DENY]

Signature: _____

Resolution 2: Accounting Transition

Approve the strategic transition from SFRS to the Charities Accounting Standard (CAS) for the upcoming financial year, mandating strict Fund Accounting to protect donor capital.

☐ [APPROVE]

☐ [DENY]

Signature: _____

Resolution 3: Capital Unlocking

Approve the application for the NCSS Organisation Health Diagnostic Scheme (OHDS) to secure baseline reporting, unlocking Part A & B state funding under the Transformation Sustainability Scheme.

☐ [APPROVE]

☐ [DENY]

Signature: _____